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CCDF Billing Error Prevention Checklist

Practical checklist for centers that accept CCDF subsidies: pre-submission checks, attendance, authorizations, co-payments, and reconciliation.

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Practical checklist for centers that accept CCDF subsidies: pre-submission checks, attendance, authorizations, co-payments, and reconciliation.

- ☐ Confirm attendance dates match room records.
- ☐ Mark ratio notes that support licensing review.
- ☐ Attach subsidy claim evidence before filing.
- ☐ Keep guardian and pickup updates with the child record.

The Scale of the Problem

The federal Department of Health and Human Services estimated \$325 million in CCDF improper payments in a recent fiscal year. The Office of Inspector General has repeatedly flagged childcare subsidy fraud and billing errors as a top enforcement priority, and states have increased audit frequency and expanded lookback periods in response.

For individual providers, the numbers are less abstract. Research tracking subsidy billing practices found that providers without automated billing tools miss an average of 8% of their annual subsidy revenue due to errors — not fraud, just administrative mistakes. For a center receiving \$150,000 per year in subsidy reimbursements, that is \$12,000 in revenue that was earned but never collected.

The most common source of improper payments — 40% of cases in federal audits — is insufficient documentation. Not fraudulent billing. Not intentional overbilling. Missing or incomplete attendance records, absent parent signatures, or billing periods that extended past authorization expiration dates. The care was delivered; the documentation did not meet the standard.

The practical takeaway: most CCDF billing errors are preventable. They are not caused by complex fraud schemes. They are caused by busy staff, manual processes, and the absence of a systematic pre-submission check.

Pre-Submission Checklist

Run this checklist before submitting billing claims for each period. Complete each step in order — do not skip ahead. Catching an error at submission time costs nothing. Catching it after denial requires a correction submission, delays payment by 30 to 60 days, and creates a documentation trail that auditors notice.

Authorization verification:

- ☐ Confirm that each subsidized child has a current, valid authorization on file for the billing period being submitted.
- ☐ Verify the authorization start and end dates. Do not bill for any days that fall outside the authorized period.
- ☐ If a child's authorization expired during the billing period, split the billing claim: submit only the days within the authorized window.
- ☐ Confirm that the authorized care level (full-time, part-time, school-age) matches the care actually delivered during this period.
- ☐ Confirm that the authorized schedule matches the actual attendance pattern. If a child is authorized for full-time but attended only 3 days this week, check your state's rules about billing for authorized days vs. actual attendance days.

Attendance record review:

- ☐ Verify that attendance records exist for every day of the billing period.
- ☐ Confirm that each attendance record includes arrival and departure times (not just a daily checkmark).
- ☐ Check that parent signatures are present where required by your state. States that require physical or electronic parent sign-in/sign-out — verify that signatures are not missing.
- ☐ Count absence days for each subsidized child and verify the count is within your state's allowable absence limit for the period.
- ☐ Cross-check your enrollment records against your attendance records. If a child is enrolled but shows zero attendance for the period, do not bill unless your state specifically allows billing for authorized days without attendance.

Rate verification:

- ☐ Confirm that each child is billed at the correct rate code for their age group (infant, toddler, preschool, school-age).
- ☐ Confirm that the rate applied is your authorized subsidy rate, not your private-pay rate. If your private-pay rate is lower than the subsidy rate, bill at the lower amount.
- ☐ If your rates changed during the billing period, verify which rate applies to which dates.

Co-payment verification:

- ☐ For states where you collect co-payments from families: confirm that co-payment collection for the period is documented (date, amount, payment method).
 - ☐ Verify that the billing claim does not include the co-payment amount — you bill only the portion the state owes.
 - ☐ For states where the state deducts co-payments from your payment: verify your claim reflects the gross amount before deduction.
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Attendance Documentation Checklist

Attendance documentation is the foundation of every subsidy billing claim. If your attendance records do not meet state standards, your billing claims will not survive audit even if the care was delivered exactly as claimed.

Daily attendance requirements:

- ☐ Record exact arrival time for each child at check-in. Round numbers (9:00, 10:00) are a red flag to auditors — actual arrival times are rarely round.
- ☐ Record exact departure time at check-out.
- ☐ If a child is absent, record it as absent. Do not leave the day blank or mark it as “scheduled” — a blank entry looks like missing documentation in an audit.
- ☐ For states requiring parent signatures at sign-in and sign-out: verify that each entry has the required signature, not just a staff initials.
- ☐ For states using electronic attendance systems (Washington KinderConnect, Texas TX3C, New Jersey swipe cards): verify that the system recorded the entry and that the entry matches your internal records.

Weekly documentation review:

- ☐ At the end of each week, pull attendance records for all subsidized children and verify completeness.
- ☐ Flag any missing entries or missing signatures immediately — before the billing period closes. Corrections made the same week are administratively simple. Corrections made after submission require a formal amendment.
- ☐ Document any unusual attendance circumstances: medical appointments, family emergencies, school holidays. These may affect how you bill and whether absence counts apply.

Absence tracking:

- ☐ Maintain a running absence count for each subsidized child across the billing period (usually monthly or biweekly depending on your state).
- ☐ Know your state's absence allowance. Common limits: 3-5 days per month in most states; Tennessee has stricter limits.
- ☐ When a child reaches the state absence limit, stop billing for additional absent days immediately. Billing for absences beyond the allowable limit is an overbilling error, not a minor discrepancy.
- ☐ Document the reason for absences when your state requires it. Some states require written notification of extended absences.

Authorization Tracking Checklist

Authorization periods are the most common source of billing errors. Each subsidized child has an authorization with specific start and end dates, and providers can only bill for care delivered within that window. Billing for even one day outside the authorization period is an improper payment.

At enrollment:

- ☐ Obtain a copy of the child's subsidy authorization letter before their first day of care.
- ☐ Record the authorization start date, end date, authorized care level, authorized hours per week, and authorized rate in your billing system.
- ☐ Confirm that the authorization covers the child's full scheduled care. If a child is authorized for part-time care but you enroll them full-time, you can only bill for the authorized portion.

Ongoing authorization monitoring:

- ☐ Set a calendar reminder 60 days before each child's authorization expiration date.
- ☐ Notify the family at the 60-day mark that their authorization is expiring and that they need to contact the agency to request renewal.
- ☐ Set a second reminder 30 days before expiration. Document that you sent both reminders.
- ☐ At the 30-day mark, contact the agency directly if the family has not initiated renewal. In some states, you can request an extension directly.
- ☐ Never continue billing after an authorization expires, even if the family assures you the renewal is "in process." Wait for the new authorization letter with a documented start date before billing resumes.

Authorization changes:

- ☐ When a child's authorized care level or schedule changes, obtain the updated authorization letter immediately.
- ☐ Apply the new rate and care level only from the effective date on the new authorization, not from the date you received the letter.
- ☐ Keep all authorization documents — including expired ones — in the child's file for the full retention period. Auditors frequently ask to see prior authorizations to verify billing history.

Co-Payment Collection Documentation

Co-payment collection is a specific fraud risk area for subsidy providers. Waiving co-payments without state approval, accepting payment in forms that cannot be documented, or failing to

collect co-payments at all are all grounds for billing recoupment and potential exclusion from the subsidy program.

At enrollment:

- ☐ Disclose your co-payment collection policy to each subsidized family in writing, signed at enrollment. The policy should state the amount owed, the due date, and the consequences of non-payment.
- ☐ Confirm the family's co-payment amount using the authorization letter or state-issued co-payment schedule. Do not rely on what the family tells you.

At time of collection:

- ☐ Collect co-payments on a consistent schedule (weekly, biweekly, or monthly — match your billing cycle).
- ☐ Issue a receipt for every co-payment collected, including the date, amount, child's name, and payment method.
- ☐ Deposit or record payment immediately. Do not hold cash co-payments.
- ☐ For co-payments paid by check or electronic transfer: retain the documentation of payment receipt.

If a family cannot pay:

- ☐ Do not waive the co-payment without written approval from the state agency.
- ☐ Document every missed co-payment with the date it was due and the amount owed.
- ☐ Contact the agency if a family falls more than one billing cycle behind. Some states have processes for hardship reassessment; others require you to report non-payment.
- ☐ Maintain documentation showing you attempted to collect, even when collection was unsuccessful.

Post-Payment Reconciliation

Receiving a payment is not the end of the billing cycle — it is the beginning of the reconciliation step. Most directors skip reconciliation because payment receipt feels like confirmation that the billing was correct. It is not. States can pay less than claimed without explanation, apply incorrect rates, or offset previous period adjustments without notice.

At payment receipt:

- ☐ Compare the payment amount to the amount billed for that period.
- ☐ Identify any line-item differences: which children's claims were paid in full, which were short-paid, which were denied.
- ☐ Request a remittance advice document if your state does not automatically provide one. You need a claim-by-claim breakdown, not just a total payment amount.

Investigating short-pays:

- ☐ For each short-paid or denied claim, document the reason code if provided.
- ☐ Review the corresponding attendance records and authorization for that child and period.
- ☐ If the short-pay appears to be a state error, file a correction or dispute within the window provided by your state. Most states have 30 to 90 days to dispute a payment determination; after that, the window closes.
- ☐ Keep records of every dispute filed, including the date, the amount disputed, and the resolution.

Monthly reconciliation:

- ☐ Maintain a billing ledger that shows: amount claimed, amount received, adjustments, and outstanding balance for each billing period.
- ☐ Review the ledger monthly. Unclaimed short-pays accumulate quickly when reconciliation is skipped.
- ☐ Identify any recurring discrepancy patterns — if one child's claims are consistently short-paid, the authorization or rate code may need correction at the source.

Audit Preparation Checklist

A subsidy billing audit can cover any 12-month period within the state's lookback window (typically three to five years; federal lookback is five years). When an auditor requests records, you need to produce them quickly and completely. Delay in producing records is itself a negative finding.

Record organization:

- ☐ Organize billing records by child, by period, and by year. Auditors pull specific children and specific periods — alphabetical by child name with period-labeled folders is the standard approach.
- ☐ For each subsidized child and each billed period, the complete record set includes: authorization document, attendance records with timestamps and signatures, billing claim submitted, payment received, and co-payment documentation.
- ☐ Store records in a location accessible to the director but not to non-administrative staff. Child records contain addresses, family income information, and custody details.

Before an auditor arrives:

- ☐ Pull a sample of records for the period the audit is likely to cover and do a self-audit. Check attendance completeness, authorization alignment, and co-payment documentation for 10-15% of subsidized children.
- ☐ Identify and correct any gaps before the audit starts. A program that self-identifies and documents corrections is treated differently than one where auditors find uncorrected errors.
- ☐ Prepare a one-page summary of your billing process — what system you use, who is responsible for each step, what your internal review process is. Auditors want to understand your system, not just review your records.

State-Specific Notes

A few states account for a disproportionate share of subsidy billing audit findings. If you operate in these states, the standard checklist is not enough — you need the state-specific additions.

Maryland. Biweekly attendance verification with tight submission windows. Missing a submission window means delayed payment for that period with no catch-up mechanism. Set calendar alerts for every submission deadline, not just the end of the month.

New York. County-administered programs mean the rules, forms, and submission requirements differ by county. What works in Albany County may not work in New York City's Administration for Children's Services. The OIG found \$24.6 million in improper payments in a single New York audit. Audit frequency and depth here are higher than most other states.

California. Also county-administered. The state moved to a new billing system (California Child Care Portal) in recent years, and the transition period created widespread billing errors. Ensure your staff knows which system your county is using and what the current submission format requires.

Tennessee. Has stricter absence allowance limits than most states. Track absence days carefully. A child who misses five days in a month may exceed Tennessee's limit, making the last one or two absence days unbillable even if the rest of the record is clean.

Washington. Electronic attendance is mandatory through KinderConnect. Any provider still using paper sign-ins is out of compliance for subsidy billing purposes, regardless of how clean their paper records are.